Figure 72.1 Price forms an extended V-top followed by a strong move lower at D.

At the end of the extension, price can either rise or fall. Most of the time it'll tumble (D). When price closes below the low set in the extension, then that's the breakout. This example breaks out downward. In 11% of cases that break out upward, a close above the top of the extension signals a breakout. In this edition, I'm going to ignore upward breakouts because they are too rare to worry about.

Volume trends downward nearly all the time in both bull and bear markets. I'll discuss volume later in Table 72.6.

Identification Guidelines

Table 72.1 shows identification guidelines for the extended V-top, and **Figure 72.2** shows another example.

Appearance. Despite the name extended V-top, the pattern is really an inverted V as I mentioned. Price moves up swiftly at the start of the pattern (AB), turns quickly (at B), and begins heading down (BC).

Bullish buying demand as price drops halts the decline and a battle with the bears begins in earnest. The two warring sides struggle for dominance. If